

PUBLIC VERSION

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 21-02

**YSN IMPORTS INC. d/b/a FLAME KING,
Complainant,**

v.

**FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC.,
Respondents.**

RESPONDENTS’ REPLY IN SUPPORT OF MOTION TO COMPEL

In its Opposition to the Respondents’ Motion to Compel, YSN asserts that the Respondents should be denied access to the service contracts that Sam Newman of YSN negotiated and executed with Maersk, and other service contracts under which its cargo moved, because YSN is not relying upon the rates set forth in service contracts to establish its purported damages for the “605 Shipments” it shipped outside of the Association Service Contract.¹ YSN’s assertion is misleading at best given that documents produced in discovery clearly reflect that YSN was shipping goods under the Freight Alliance Service Association (“FASA”) Service Contract, and other service contracts, which contracts establish the rates at which goods move. Indeed, Mr. Newman and other YSN employees communicated extensively with Maersk regarding, *inter alia*, allocations for YSN shipments under the FASA contract and YSN’s inability to comply with those allocations. (Ironically, YSN’s failure to abide by its allocations under the Association Service Contract was the reason that YSN was terminated from the Association.) Further, YSN’s claim for damages

¹ This is an argument that YSN failed to even assert in the parties’ meet and confer sessions.

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would have to be predicated upon the difference in the rates it paid under competing service contracts versus the Association Service Contract, the only inference that can be drawn from YSN's statement is that YSN did not ship any of the 605 shipments under the FASA Service Contract. Documents produced in discovery by YSN reflect, however, that this representation is untrue as the contemporaneous correspondence reflects that YSN shipped extensively under the FASA Service Contract. Further, Maersk invoices produced in discovery by YSN in regard to the 605 shipments refer to goods moving under service contract ONLINE1, which, upon information and belief, is the FASA Service Contract. *See Exhibit A.*²

The Respondents assertion that none of the goods moved under a service contract is thus contrary to the evidence in the record. Further, it is implausible that YSN would have formed a new shippers association with Maersk and signed a contract with it in early February of 2020, and then opted to ship cargo at higher spot rates rather than take advantage of those lower rates.

For the foregoing reasons, and the reasons set forth in its original Motion, Respondents request that YSN produce all service contracts under which its cargo moved, as well as all documentation related to such service contracts.

² Exhibit A to the YSN Opposition is not evidence to the country as individual members of FASA are billed directly per the service contract rates. YSN's attachment, therefore, appears designed merely to mislead and confuse.

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Dated: December 9, 2021

Respectfully submitted,

/s/ Brendan Collins

Brendan Collins

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Oberlander, U Shippers Group Inc., and U
Shippers Group Management Co., Inc.*

**Exhibit A –
Public Version -
Confidential Materials
Excluded**

CERTIFICATE OF SERVICE

I hereby certify that on this 9th day of December, 2021, I have served the foregoing document upon all parties of record by electronically mailing a copy to each such person.

/s/Brendan Collins

Brendan Collins